

# Fearnleys Dry Bulk Weekly

Dec 3, 2025



# Capesize/Newcastlemax

Last week, we wrote "To last week's comment, we can add that inventory building in China has counteracted the negative trend in iron ore consumption since early October. Spot markets are now at year-to-date highs, and as a pointer to how high it might go, the C5TC index has peaked at a ratio of around 2.5 to the P5TC over the last years."

The Capesize/Kamsarmax ratio is getting high, and there are rumours of Kamsarmax splits, so that might put the brake on the rally.

Otherwise, comments on what the below charts tells us:

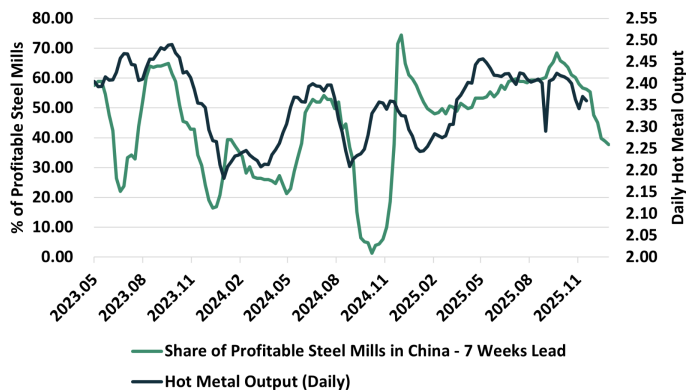
**Top left chart:** Hot metal output in China usually lags steel mill profitability by a few weeks. We pointed to this as a downside risk for the market, but falling consumption has been counteracted by inventory building.

**Top right chart:** Higher backwardation = more urgency to buy, and vice versa. The iron ore futures curve suggested headwinds for Capes in Q4. Why these headwinds did not impact the market negatively is due to the mentioned inventory building, along with Bauxite and Coal volumes. The futures curve is now suggesting tailwinds for Capes in Q1, however, as it is suggesting iron ore consumption could rise again.

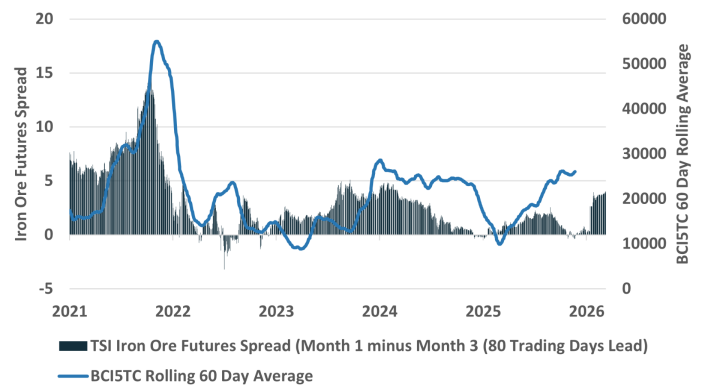
**Bottom left chart:** The price of copper is a good barometer of global industrial activity, and leads asset values with high accuracy. The suggestion is for further upside in values in the next months.

**Bottom right chart:** The iron ore spot price served as a very good leading indicator of the market direction for a few years - until the middle of this year. Why did the market rally this summer even as the iron ore spot price lead suggested it would continue to be weak? The futures curve lead was backwarddated during the same period, along with a preference for higher grades of iron ore, supporting ton-miles.

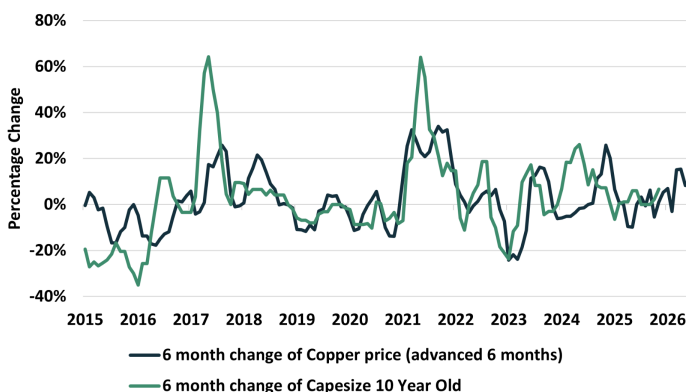
## Share of Profitable Steel Mills (7 Weeks Lead) vs Hot Metal Output



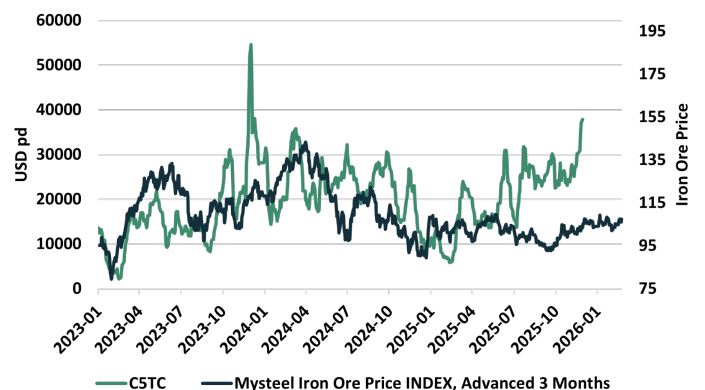
## Iron Ore Futures Spread, 1st Month Minus 3rd Month (3 Months Lead) vs BCI5TC 60 Days Rolling Average



## Copper Price Lead vs Capesize 10-Year Old



## Iron Ore Price - 3 Months Lead vs C5TC



## Panamax/Kamsarmax

Last week, we wrote "The coal futures curve keeps getting less backwardated, indicating there is room for more upside in the Pacific. However, spot prices have softened slightly, as China's import demand is reportedly slowing down a bit after several strong weeks. Otherwise, the North Atlantic keeps strengthening, supported by US Soybean shipments to China, but the South Atlantic tightness indicator shown below has turned down again. So overall, we are perhaps looking at minor gains in the P5TC index until year-end, but there is a chance the rally will also stall here."

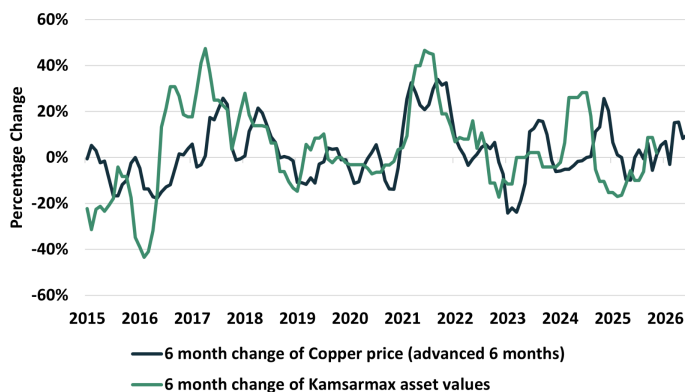
**Top left chart:** The price of copper is a good barometer of global industrial activity, and leads asset values with high accuracy. The suggestion is for further upside in values in the next months.

**Top right chart:** We updated this indicator, so it includes a greater share of the coal futures curve (it's an average of various spreads like the 1-3 months etc). It usually leads the P5 market by a couple of months. It is now suggesting downtrend until new-year, and then a January rally.

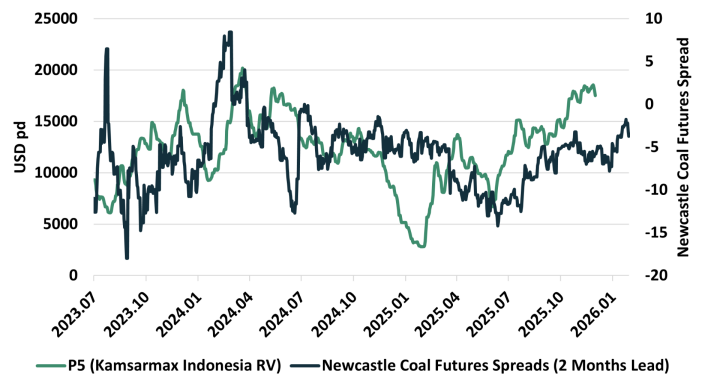
**Bottom left chart:** Not a leading indicator, but tracking the number of vessels entering the North Atlantic minus the ones leaving the North Atlantic against the P1A spread over P5. The net change is positive, indicating firmer demand and the potential for an "outperformance" in the North Atlantic vs other basins. The surging Capesize market is an additional factor there, as cargo splits could lend extra support.

**Bottom right chart:** The indicator is made by subtracting the number of vessels able to make Santos within 10 days from the ones able to make Santos within 30 days. Hence, a higher reading reflects less vessel supply in the basin relative to other regions, and vice versa. The suggestion going forward is for a slight downtrend in P6.

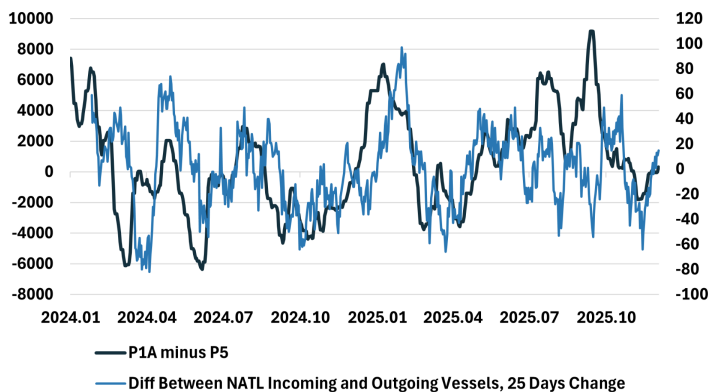
### Copper Price Lead vs Kamsarmax 10 Year Old



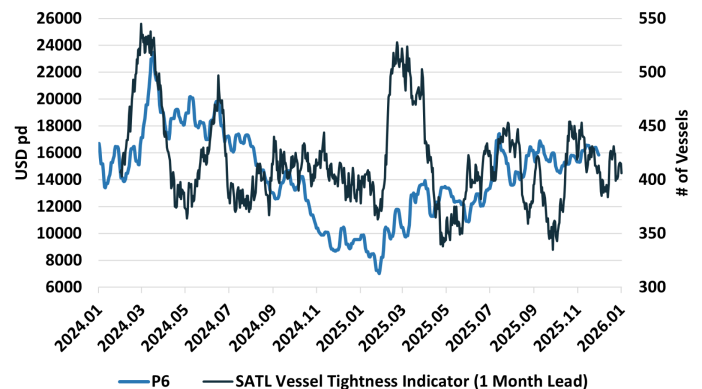
### P5 vs Newcastle Coal Futures Curve Spread (Lead 2 Months)



### North Atlantic net Vessel Change vs P1A minus P5



### South Atlantic Vessel Tightness Indicator (Lead 1 Month), vs P6



# Supramax/Ultramax

The price of copper, and industrial metals in general, serves as accurate barometers of global industrial activity. The below charts show a high degree of correlation between copper, industrial metals, and the Supra/Ultra market.

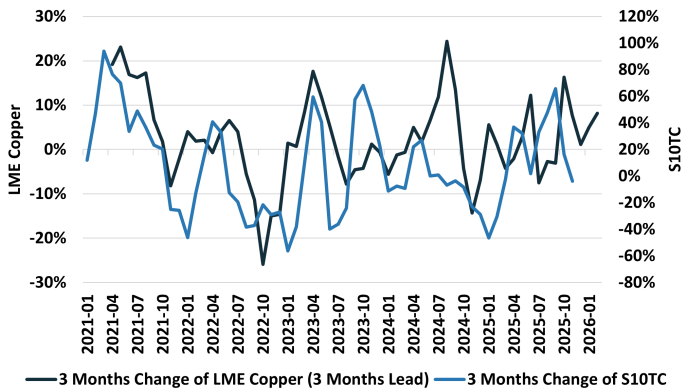
**Top left chart:** The three-month change of the price of copper, with the curve shifted forward three months, vs the three months change of S11TC. There will be some seasonal weakness in Jan/Feb related to CNY, but the copper price is suggesting positive momentum in Q1.

**Top right chart:** Same as with the top left chart, but here illustrated a bit differently, and against 1 year TC. Rising momentum suggested through Q1.

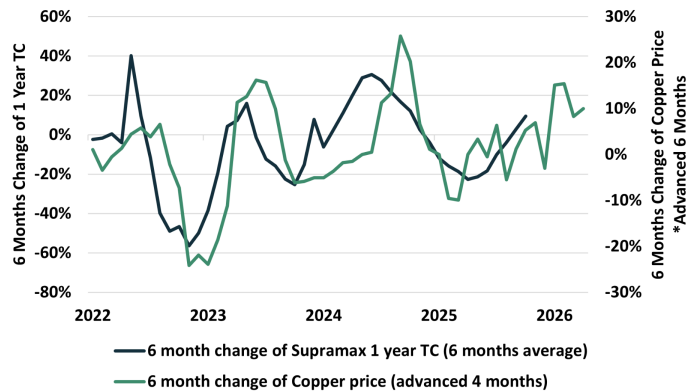
**Bottom left chart:** An industrial metals index including other metals as well, like Aluminium, Zinc and Nickel. This index is now at the highest level since Q2 2022. Will we therefore see the highest 1-year TC rates since Q2 2022 in the next months? It is a strong possibility.

**Bottom right chart:** The price of copper is a good barometer of global industrial activity, and leads asset values with high accuracy. The suggestion is for further upside in values in the next months.

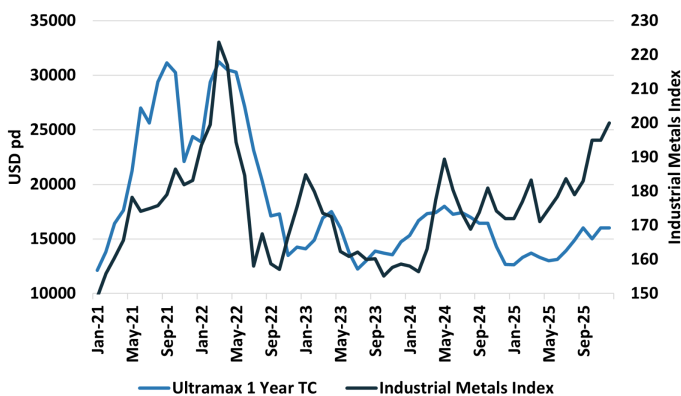
## Copper Price 3 Months Change, 3 Months Lead vs 3 Months Change of Supra 10TC



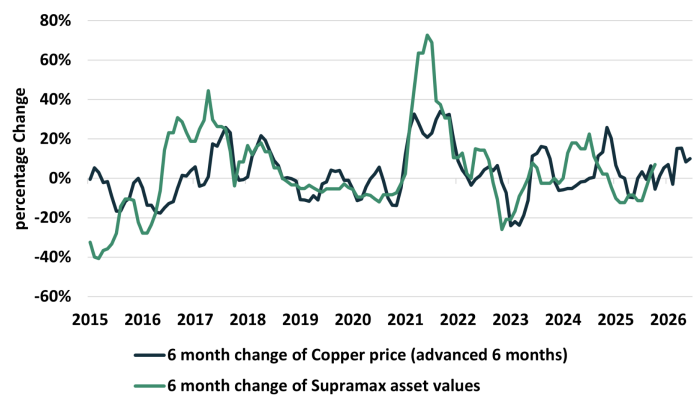
## Copper Price 6 months Change, 4 Month Lead vs Supramax 1 Year TC 6 Months Change



## Industrial Metals Index vs Ultramax 1 Year TC



## Copper Price Lead vs Supramax 10-Year Old





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